

but profits will likely drop when you sell too early. Use twice or three times the height and the success rate drops, but if the target is achieved, you could make more money. So use the probabilities shown to estimate how far price might rise.

As a check, consult [Table 27.3](#). For example, the height is 3.52 and the top of the pattern is at 31.09 for a potential rise of 3.52/31.09 or 11%. How often does price fail to rise more than 10% (the closest to 11%). Answer: 25%. That means you've a 75% chance of a winning trade, providing you trade it properly.

Wait for breakout. Once the second bottom of a double bottom occurs, you can use the measure rule to set a target. If the potential profit is large enough, then wait for the breakout before trading. Point A in [Figure 27.6](#) shows the confirmation point with a line extending to the breakout point.

If you decide to trade before waiting for a breakout, 48% of double bottoms will not confirm. That's almost half. You might be right and can buy in at a lower price, but it's a gamble.

Trade with market trend. This is turning into a cliché, but a rising tide lifts all boats. Another way of saying that is to trade with the trend. Avoid making the mistake of being bullish in a bear market, which is like swimming against the current. You may still get to where you are going if a barge doesn't run you over.

[Table 27.11](#) Special Features

Trading Tactic	Performance
Small bottom-to-bottom variation	38%
Large variation	48%
Median bottom-to-bottom variation	1%
Lower left bottom	42%
Lower right bottom	44%

Check others in the industry. I find this tactic particularly useful. Before I trade, I check other stocks in the same industry. If they are rebounding or showing bottom reversals, then that gives me confidence that the trade will work as expected. If the other stocks are heading down, that increases the